The growth in the insurance sector is internationally ***measured*** based on the standard of insurance penetration. Insurance penetration is defined as the ratio of premium underwritten in a given year to the gross domestic product (GDP). Likewise, insurance density is another well recognized benchmark and is defined as the ratio of premium underwritten in a given year to total population (measured in US dollars for convenience of comparison). The Indian insurance business has in the past remained under-developed with low levels of insurance penetration. Post liberalization[20] the sector has succeeded in raising the levels of insurance penetration from 2.3 (life 1.8 and non-life 0.7) in 2000 to 5.1 (life 3.4 and non-life 0.7) in 2011.

As per the ***Economic Survey 2012-13***, despite the growth in the insurance sector that was witnessed during the last few decades, insurance penetration and density remained low as compared to other developing countries of the world. It was felt that various legislative provisions were archaic and needed revision in line with the changing market conditions. Accordingly, the government introduced the Insurance Laws (Amendment) Bill 2008 in the Rajya Sabha on 22 December 2008. Based on the recommendations of the Standing Committee, the official amendments to the Insurance Laws (Amendment) Bill 2008 are proposed to be introduced at the earliest. The ***Survey*** further adds that

i. limited choice and high cost of providing covers, and
ii. assessing claims

are some of the issues that need to be suitably addressed to make insurance funds an effective means of channellizing savings to investments.

Policy Initiatives

Committed to expand and strengthen the insurance industry in the country (following the recommendations of the Malhotra Committee Report, 1993), the GoI has taken the following policy initiatives[21] in the recent years:

1. **Health Insurance:** The Insurance Regulatory Development Authority **(**IRDA) has been taking a number of proactive steps as part of the initiatives for the spread of health insurance. It had set up a National Health Insurance Working Group in 2003, which provided a platform for the various stakeholders in the health